YOUR REFERENCE SHEET FOR THE SESSION AND THE EXAM

GLOSSARY · AI in International Financial Management

GM 230 and IM 140 International Financial Management · Master Global Management and International Business

Four fields, from the output you are handed to the decision you sign. The colours are signposts, nothing more.

Remember: The model can produce the number. It cannot sign it. Your value lies in the defence, not in the output.

1 THE FINANCE CHAIN

Term	Plain explanation	Example	Remember
Financial planning	Projecting future cash in and cash out.	A five-year plan for a subsidiary in Poland.	***Every later step rests on it.***
Investment appraisal	Deciding whether a project is worth its capital.	NPV of a new production line in Hungary.	***Money today beats money later.***
Cost of capital	The return investors require for the risk they take.	WACC rises when country risk rises.	***Risk has a price.***
Hedging	Protecting against currency or interest rate moves.	A forward contract on a USD receivable.	***Insurance, not speculation.***
Forward rate	Today's market price for an exchange at a future date.	EUR/USD twelve months forward.	***The market's own forecast.***
Peer group	Comparable companies used to value a target.	Five listed competitors of similar size.	***Comparable is a judgement, not a filter.***
Local GAAP	National accounting rules that differ from IFRS.	German HGB values inventory differently.	***Same label, different content.***

2 WHAT THE MODEL ACTUALLY DOES

Term	Plain explanation	Example	Remember
Large language model	A system that predicts likely text from patterns in training data.	It writes a valuation summary that reads like an analyst wrote it.	***Pattern, not understanding.***
Prompt	The instruction you give the model.	Normalise these three balance sheets to IFRS.	***Vague prompt, vague answer.***
Hallucination	A confident output that is simply invented.	A peer company that does not operate in that segment.	***Fluent is not the same as true.***
Training cutoff	The date after which the model has learned nothing.	It does not know last quarter's rate decision.	***Yesterday's world, today's tone.***
Explainability	Whether you can show how a result came about.	Which inputs drove the valuation and by how much.	***No path, no proof.***
Automation bias	Trusting a machine output more than your own check.	Nobody re-reads the figure because it looks professional.	***The risk is you, not the model.***
Scenario	A consistent set of assumptions, not a prediction.	EUR/USD at 0.95, 1.05 and 1.15, each costed.	***Plan for ranges, not points.***

3 THE THREE USE CASES

Term	Plain explanation	Example	Verdict
Statement normalisation	Bringing statements under different standards onto one basis.	Three subsidiaries, three standards, one comparison table.	***Use, with a defined control.***
Silent omission	An item a standard never reports, so the model cannot miss it.	A pension obligation that local GAAP does not disclose.	***It cannot know what is absent.***
FX forecasting	Predicting a future exchange rate as a point value.	EUR/USD will be 1.09 in twelve months.	***Do not use. Nobody can.***
Stress testing	Running a plan through adverse but consistent scenarios.	What happens to covenants if the dollar drops 15 percent.	***Use. This is where it shines.***
Long list	A broad first set of candidate comparables.	Forty companies in the same industry code.	***Use. Minutes instead of days.***
Short list	The few peers you actually use for the multiple.	Five companies you can defend one by one.	***Never delegate this.***
Thin market	A market where transaction prices are not public.	German mid-sized succession deals.	***Data gaps invite invention.***

4 THE TEST AND THE GOVERNANCE

Term	Plain explanation	Example	Remember
Traceability	Every input can be traced to a named source.	This revenue figure comes from note 12 of the 2025 report.	***Name the source or drop the number.***
Reproducibility	The same method gives the same result tomorrow.	A colleague repeats the steps and lands in the same place.	***Once is luck, twice is method.***
Accountability	A named person answers for the result.	The CFO signs the valuation, not the tool.	***Someone always signs.***
Audit trail	The documented path from input to conclusion.	Prompt, source files and version are stored with the file.	***Keep the path, not just the answer.***
Four-eyes principle	A second qualified person reviews before release.	Controller checks before the board paper goes out.	***Two heads before one signature.***
Model risk	The risk that the tool itself produces wrong decisions.	A scoring model systematically misreads small exporters.	***The tool is a risk, not only a help.***
High-risk system	EU AI Act category with stricter duties.	Creditworthiness assessment of natural persons.	***Corporate lending sits outside. Govern it anyway.***

Important for you: understand the terms, apply them, decide with confidence.
These terms will serve you in this module, in your thesis, and in the first finance meeting where someone shows you a number they cannot explain.

Dr. Christian Neusser · Teaching demonstration, Hochschule Landshut, 4 November 2026
Sources: Module handbook MGM, version 2 (WS 2025/26 and SS 2026) · Module handbook MIB, version 2 · Arnold, G. (2019), Corporate Financial Management (6th ed.), Pearson · Regulation (EU) 2024/1689, Annex III · Meese & Rogoff (1983); Rossi (2013); Fama (1970) · Rudin (2019) · Federal Reserve (2011), SR 11-7
Didactic basis: Sweller, Ayres & Kalyuga (2011); Mayer (2021).